

Transaction Risk Policy

RiskGuard Demo Knowledge Base · Document ID: TXN-POL-02 · Fictional policy for demonstration purposes only

1. Purpose and Scope

This policy governs the overall risk decisioning framework for individual transactions, defining how RiskGuard converts a composite risk score into one of three decisions: Approve, Review, or Block.

2. Composite Risk Score

The composite risk score is a weighted combination of four component scores: fraud risk, behavioral risk, device risk, and policy risk. Each component contributes independently, and no single component may exceed 100 points.

The platform does not use a fixed linear weighting formula. Instead, component scores are combined using the maximum of the four components plus a smaller weighted average of the remaining three, so that one severely elevated component cannot be diluted away by three low-risk components.

3. Decision Thresholds

A composite risk score of 0 to 34 results in an Approve decision. A composite risk score of 35 to 69 results in a Review decision, meaning the transaction is held for manual or secondary automated review before settlement. A composite risk score of 70 to 100 results in a Block decision.

These thresholds are the platform default and may be tightened (lowered) for specific high-risk merchant categories under the Merchant Risk Policy, but they may never be loosened without written sign-off from the Head of Risk.

4. Large Transaction Handling

Any transaction amount greater than 25,000 INR is treated as elevated-value and receives a minimum policy risk contribution of 20 points, independent of any other signal, reflecting the higher loss severity of large transactions.

Transaction amounts greater than 100,000 INR receive a minimum policy risk contribution of 40 points and cannot result in an Approve decision even if every other risk component scores zero; the composite score is floored at the Review threshold.

5. Currency and Cross-Border Transactions

Transactions where the transaction currency differs from the account's registered home currency receive an additional 10 points of policy risk, reflecting the increased difficulty of verifying cross-border payment legitimacy.

6. Review Queue Service Levels

Transactions routed to Review must be resolved within 4 business hours during standard operating hours, or within 12 hours outside standard operating hours. If a Review transaction is not resolved within these windows, it automatically escalates to a senior risk analyst and the customer is notified of the delay.